CHAPTER THREE

HOW TO TAKE CONTROL OF APPRECIATION

Although we've talked plenty about appreciation up to this point, let's start this chapter with a basic definition, in case you've started skipping around. (Do what you will, but you might have missed some top-shelf puns—and we all know that's what you're really here for.)

Simply put, appreciation is the increase in a property's value over time. If you bought a house for $200,000 and it's worth $300,000 the next year, it has appreciated. By a lot. You should be appreciative of that appreciation.

"Appreciation" itself is a very general term, but there are two more specific subtypes: *market appreciation* and *forced appreciation*. The former is what we've been mentioning extensively—the national, regional, and local factors that give your home's value a little more oomph each year. The latter is a fancy way to talk about adding value to the home itself, like fixing up a relic of the 1970s by removing the shag carpet and wood paneling. These may sound like two completely different concepts, but they're both just different ways a house can increase in value over time.

Much like exit options, you should be thinking about appreciation *before* you buy your house instead of as a panicked afterthought. In this chapter, not only will we discuss a framework for thinking about these value-adds, but we'll talk about the best ways to incorporate them into your home-buying strategy.

MARKET APPRECIATION

Because we need a starting point to discuss market appreciation, let's take a minute to talk about national averages. There are many different ways to look at appreciation, but we personally prefer something called the Case-